IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CP(CAA)NO.33/BB/17
Under Section 230 to 232 of Companies Act, 2013
Order Delivered on: **5th December 2017**

IN THE MATTER OF
SCHEME OF AMALGAMATION
OF
SOUTH STAR DISTILLERIES AND BREWERIES PRIVATE LIMITED
WITH
KARE POWER RESOURCES PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Kare Power Resources Private Limited,
103,Eden Park,No.20
Vittal Mallya Road,
Bengaluru-560045 - **Petitioner/Transferee Company**

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Parties Present : 1) Mr. Saji P.John, Advocate
SPJ Legal, Unit No.1002,
10th Floor, # 30, Prestige Meridian II M G Road,
Bengaluru 560001
Advocate for the Petitioner Company

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)** – Author

Heard on: 08.08.2017, 25.09.2017, 17.10.2017 & 03.11.2017

ORDER

This Company Petition is filed on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation where under **SOUTH STAR DISTILLERIES AND BREWERIES PRIVATE LIMITED**(Transferor Company) is proposed to be merged with **KARE POWER RESOURCES PRIVATE LIMITED** (Petitioner/Transferee Company) and shall be binding upon all the Shareholders of the Petitioner Company. The Scheme of Amalgamation is shown as **Annexure-A**.

The averments made in the Company Petition are briefly described hereunder:-

The Transferor company was incorporated on 10th March, 2008 under the provisions of the Companies Act, 1956, under the name and style **"SOUTH STAR DISTILLERIES AND BREWERIES PRIVATE LIMITED"** with the Registrar of Companies, Chennai at Tamil Nadu and obtained Certificate of Incorporation vide bearing CIN No. **U15512TN2008PTC066761.**

The Registered office of the Transferor Company is situated at C/O T.D. Chandrasekar No.1, Mahalingam Chetty Road, Nungambakkam, Chennai, Tamil Nadu-600034.

The Main Objects of the Transferor Company as set out in its Memorandum of Association are, inter alia includes, hereunder:

i.) To carrying on the business of establishing distiller, breweries, bottling plants, rectifying plants, manufacture, process, buy, sell brew, distillate, malsters, prepare, refine, blend, store, mature, produce, import, export bottlers and generally to deal in wines, spirits, liquors, country liquors, whisky, gin, run, brandy, spirits, liqueurs, ale, beer, juice, cordials, squashes, vinegars, bottles, casks, Corks, bottle stoppers, bottle openers and / or any articles, items and acts that may promote the quality, sales or prestige of any of the products and business handled by the company, aerated, mineral and medicated, water, medical and tonic preparations, any kind of natural or synthetic flavoured drinks, all items made from agriculture based products, alcoholic and non-alcoholic beverages and all products or by-products thereof and for the above purpose set up, install, purchase, or otherwise take over, acquire all plants, machinery and related equipments.

The Copies of Certificate of Incorporation, Memorandum and Articles of Association of the Transferor Company are shown as **Annexure-D**

As per the audited Balance Sheet of the Transferor Company as on 31st March, 2016 the Assets and Liabilities are as follows:-

Liabilities	**Amount**	**Assets**	**Amount**
Share capital	50,00,000	Non-current Assets	18,60,51,985
Reserves and Surplus	(35,66,370)	Current Assets	2,27,177
Non – Current Liabilities	13,74,29,678		
Current liabilities & Provisions	4,74,15,854		
Total	**18,62,79,162**	**Total**	**18,62,79,162**

The Audited Balance Sheet as on 31st March, 2016 and the Unaudited Balance Sheet as on 28th February, 2017 of the Transferor Company are shown as **Annexure-E & E1** respectively.

The Petitioner/Transferee Company was incorporated on 18th August, 2003 under the provisions of the Companies Act 1956, under the name and style SANATH EXPORT PRIVATE LIMITED with the Registrar of Companies Karnataka. Subsequently the name was changed to **KARE POWER RESOURCES PRIVATE LIMITED** on 10th September, 2009 and obtained Certificate of Incorporation vide bearing CIN No. **U40100KA2003PTC032408**.

The Registered office of the Petitioner/Transferee Company is situated at No103, Eden Park, No.20, Vittal Mallya Road, Bengaluru-560001.

The Main Objects of the Transferee Company as set out in its Memorandum of Association are, inter alia includes, hereunder:

i.) to generate electrical power by conventional, non-conventional methods including coal, gas, lignite, oil, bio-mass, waste, thermal, solar, hydel, geo-hydel, wind and tidal waves.

ii.) to promote, own, acquire, erect, construct, establish, maintain, improve manage, operate, alter carry on control, take on here/lease power plants, invest, co-invest in any such projects, companies, ventures, co-generation , power plants, energy conservation projects, power houses, dams, water treatment and distribution, electrical, sub-stations, transmission lines, transmission and distribution systems for generation, distribution transmission and supply of electrical energy and buy, sell, supply, exchange, market, function as a licence and deal in electrical power, energy to the State Electricity Board, State Government, Appropriate Authorities, licensees', specific industrial units and other consumers for industrial, commercial, agricultural household and any other purpose in India and elsewhere in any area.

The Copies of Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner/Transferee Company are shown as **Annexure-B.**

As per the audited Balance Sheet of the Petitioner/Transferee Company as on 31st March, 2016 the Assets and Liabilities are as follows:-

Liabilities	Amount	Asset	Amount
Share capital	21,10,00,000	Non-current Assets	1,81,28,93,777
Reserves and Surplus	(8,80,05,923)	Current Assets	1,10,52,303
Non – Current Liabilities	1,54,70,06,035		
Current liabilities & Provisions	15,39,45,968		
Total	**1,82,39,46,080**	**Total**	**1,82,39,46,080**

The Audited Balance Sheet as on 31st March, 2016 and the Unaudited Balance Sheet as on 28th February, 2017 of the Petitioner/Transferee Company are shown as **Annexure-C & C1** respectively.

The Board of Directors of the Petitioner/Transferee Company and Transferor Company have approved and adopted the Scheme of Amalgamation at its respective meeting held on 15th March, 2017 by virtue of which **South Star Distilleries and Breweries Private Limited** (Transferor Company) is proposed to be merged with **Kare Power Resources Private Limited** (Petitioner/Transferee Company). The extract of the Board Resolution of the Petitioner/Transferee Company is shown as **Annexure F &** extract of the Board Resolution of the Transferor Company is filed along with Memo dated 29th September, 2017.

The Petitioner/Transferee Company has filed Company Application (CAA) 47/BB/2017 before this Hon'ble Tribunal for dispensation of the convening of meeting of the Shareholders for approving the scheme of Amalgamation. This Tribunal vide Order dated 10th July, 2017 allowed the Company Application and dispensed with the convening of meeting of the Shareholders. The copy of the said order passed by this Tribunal in Company Application No. CA (CAA) 47/BB/2017 is shown as **Annexure-H.**

The Counsel for the Petitioner Company has filed **Memo dated 1st August, 2017** seeking directions to issue notice(s) to Regional Director, South Eastern Region; Registrar of Companies, Karnataka; Assistant Commissioner of Income Tax and to issue notice by way of paper publication in "**Bangalore Mirror**" English Daily Bangalore Edition and "**Vijay Karnataka**" Kannada Daily Bangalore Edition.

This Tribunal vide Order dated 8th August, 2017 directed the Petitioner/Transferee Company to issue Notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies, Karnataka; Assistant Commissioner of Income Tax and also to have an advertisement of Notice of Petition be carried out in the "**Bangalore Mirror**", an English daily Newspaper and "**Vijay Karnataka**", a Kannada daily Newspaper and stating the next date of hearing as 25th September, 2017.

In pursuant to the same the Counsel for the Petitioner Company has filed the **Compliance Affidavit dated 23rd August, 2017** of the respective Authorised Signatories of the Petitioner Companies for carrying out the Advertisement of the Company Petition and issuance of notices to the above said Authorities. The Copies of Paper Publication are shown as **Annexure A1 & A2** and copies of notice(s) to the above said authorities are shown as **Annexure B, C & D.**

The Registrar of Companies, Karnataka, Bangalore vide his letter bearing No. ROCB/Legal/CAA/33/BB/2017 dated 13th October 2017 has submitted his report and made the observation under the head in ***Serial No.31 stating that the ROC Office is in receipt of a letter dated11th September, 2017 from the Income Tax Department, ITO, Ward-6(1)(2), Bangalore which states that the Company M/s South Star Distilleries and Breweries Private Limited's assessment proceedings are under progress for completion hence, the amalgamation matter may be kept in abeyance till the assessment proceedings are completed. Subsequently this Office is in receipt of letter no. F.No.37/SOUTH STAR/ITO-6(1)(2)/2017-2018 dated 9th October, 2017 from the same office i.e. ITO,Ward-6(1)(2) stating that the assessment proceedings of M/s South Star Distilleries and Breweries Private Limited for the AY 2015-16 is completed(copy of the letter enclosed herewith).***

Further, stated that the Petition may be decided on merits. Since, Registrar of Companies has not raised any comments/observations with respect to the scheme of Amalgamation of the Petitioner/Transferee Company. Therefore, it can be presumed that the Registrar of Companies has no objection.

The Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has filed its **Affidavit dated 20th October, 2017** stating that the Petitioner Company involved in the proposed Scheme of Amalgamation is regular in filing the statutory returns and no complaints , no investigations and no inspections are pending against the Petitioner Company. Further stated that the scheme and other material papers have been examined by him and the Company Petition may be decided on merits.

The Counsel for the Petitioner Company has also filed the Share Exchange Ratio Certificate of the Chartered Accountant **dated 27th March, 2017** stating that Fair Share Exchange Ratio for the purpose of the proposed Amalgamation of **South Star Distilleries and Breweries Private Limited** (Transferor Company) with Kare Power Resources Private Limited (Petitioner/Transferee Company).The said Share Swap Ratio issued by the Chartered Accountant in this regard is shown as **Annexure H.**

The Counsel for the Petitioner Company has also filed the copy of Accounting Treatment Certificate of the Chartered Accountant **dated 27th March, 2017** stating that the Accounting Treatment contained in the Scheme of Amalgamation is in conformity with the Applicable Accounting Standards under Section 133 of the Companies Act, 2013. The Copy of the Accounting Treatment Certificate of the Chartered Accountant **dated 27th March, 2017** is shown as **Annexure-J.**

After hearing the Counsel for the Petitioner Company and considering the material on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Scheme of Amalgamation of **SOUTH STAR DISTILLERIES AND BREWERIES PRIVATE LIMITED** (Transferor Company) proposed to be merged with **KARE POWER RESOURCES PRIVATE LIMITED**(Petitioner/Transferee Company) is Sanctioned subject to the Orders of NCLT Chennai.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner/Transferee company for all the state and interest of the Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Petitioner/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner/Transferee company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Petitioner/Transferee Company, if any; and

The Petitioner Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016.

Any person shall be at the liberty to apply the tribunal in the above matter for any directions that may be necessary.

5/12/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

5/12/17

(RATAKONDA MURALI)
MEMBER, JUDICIAL